



Stakeholder Engagement & Investor Relations

What will we learn today?

Understanding Stakeholders

Identifying key stakeholders, their expectations, and their impact on the organization

Stakeholder Engagement

Engagement processes and the role of the Board

Global Regulatory Framework on Stakeholder Engagement

Governance standards and best practices

Investor Relations

Meaning of Investor & Investor Relations, its Regulatory Framework and Board's Role

Before We Start: Who Has a Stake?



Think of **one organizational decision** you are familiar with..

Hint - policy change, project launch, compliance update, process change, CSR initiative, etc.

Write down that organizational decisions and **stakeholder(s)** affected by this decision.





Understanding Stakeholders

Who Are Stakeholders? | Internal v. External

Stakeholders are individuals, groups or institutions that are **directly or indirectly connected** to an organization through **value creation, risk exposure or influence** and whose interests must be considered because the organization's decisions can affect their **economic, social, environmental or regulatory outcomes**.

Internal Stakeholders

External Stakeholders

Meaning

- Internal stakeholders are individuals or groups who have a **direct interest** in the company's operations, performance & success, **impacting and being impacted** by daily activities or decisions.

- External stakeholders exist **outside formal organizational boundaries**, yet they shape the firm's ability to operate.

Key groups

- Employees
- Management
- Board of Directors
- Promoters
- Shareholders

- Customers
- Suppliers and vendors
- Regulators & government bodies
- Local communities
- Media & civil society
- Financial institutions

Impact of Stakeholders

- They determine culture, ethics, & risk appetite
- Their engagement affects productivity & innovation.

- They grant the organization its *license to operate*.
- They influence reputation, trust, & validity.

Did you know?

The modern business definition of stakeholder first appeared in a **1963's internal memorandum** at the Stanford Research Institute. It was later popularized in the **1980s by R. Edward Freeman**, who stated that companies must serve more than just their owners to succeed long-term!

Emerging Stakeholder Groups Globally

Emerging stakeholder groups in relation to organizations usually mean groups whose **influence, expectations or visibility have grown significantly in recent years** due to globalization, technology, social and environmental changes

01

International Organizations

- International organizations (such as, UN, WTO, EU)
- Set global standards for labour, data protection and environmental practices
- Stronger influence due to cross-border operations

02

Investors Focused on ESG (Environmental, Social, Governance)

- Evaluate organizations based on long-term sustainability, not just profit
- Can influence strategy and leadership decisions

03

Supply Chain Workers & Partners

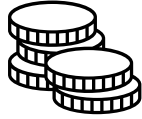
- Outsourced workers, distributor or dealer
- Focus on labour rights, safety, and fair wages

04

Digital Communities & Online Activists

- Social media users, online campaigns, influencers
- Can shape public opinion very quickly

Shareholders vs. Stakeholders



Shareholders

A **shareholder** is a owner of a company who provides financial capital and receives economic returns. They are therefore a **subset** of the broader stakeholder ecosystem.



Stakeholders

Stakeholders include all parties—such as shareholder, employees, customers, suppliers, regulators, communities, and society—who contribute to, are affected by, or can influence the organization's activities.

Shareholders' Primacy vs. Stakeholders' Capitalism: *Understanding the Changing Corporate Landscape*

Shareholder primacy is the theory that a corporation's main purpose is to **maximize shareholders' value**.

Under this model, the directors & executives are seen as **agents of the shareholders**, with a fiduciary duty to act in their best financial interests.

The Shift from Shareholders' Primacy to Stakeholders' Capitalism

Stakeholders' capitalism is the idea that corporations should create value not just for shareholders, **but for all stakeholders** affected by the company's operations.

Some jurisdictions have amended corporate laws to allow or require Directors to consider stakeholder interests

Ex., the UK's Companies Act 2006, which requires directors to have regard to the interests of employees, the community and the environment.

Activity - Stakeholder Risk Radar

Complete this sentence:

“Ignoring following stakeholder group could lead to _____ risk”

1. Digital Communities & Online Activists
2. Investors
3. Supply Chain Workers & Partners
4. Regulators
5. Local Communities & Society

For each stakeholder group listed, identify **the primary risk** the company may face **if that group is ignored or poorly engaged**.

There is **no single right answer** — focus on the **most material risk** that could impact....



Activity - Stakeholder Risk Radar – Indicative Answers



Digital Communities & Online Activists

Reputational or Brand Risk



Investors

Financial Loss



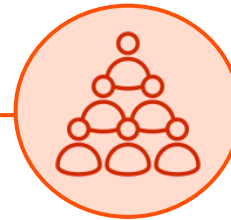
Supply Chain Workers & Partners

Operational disruption Risk



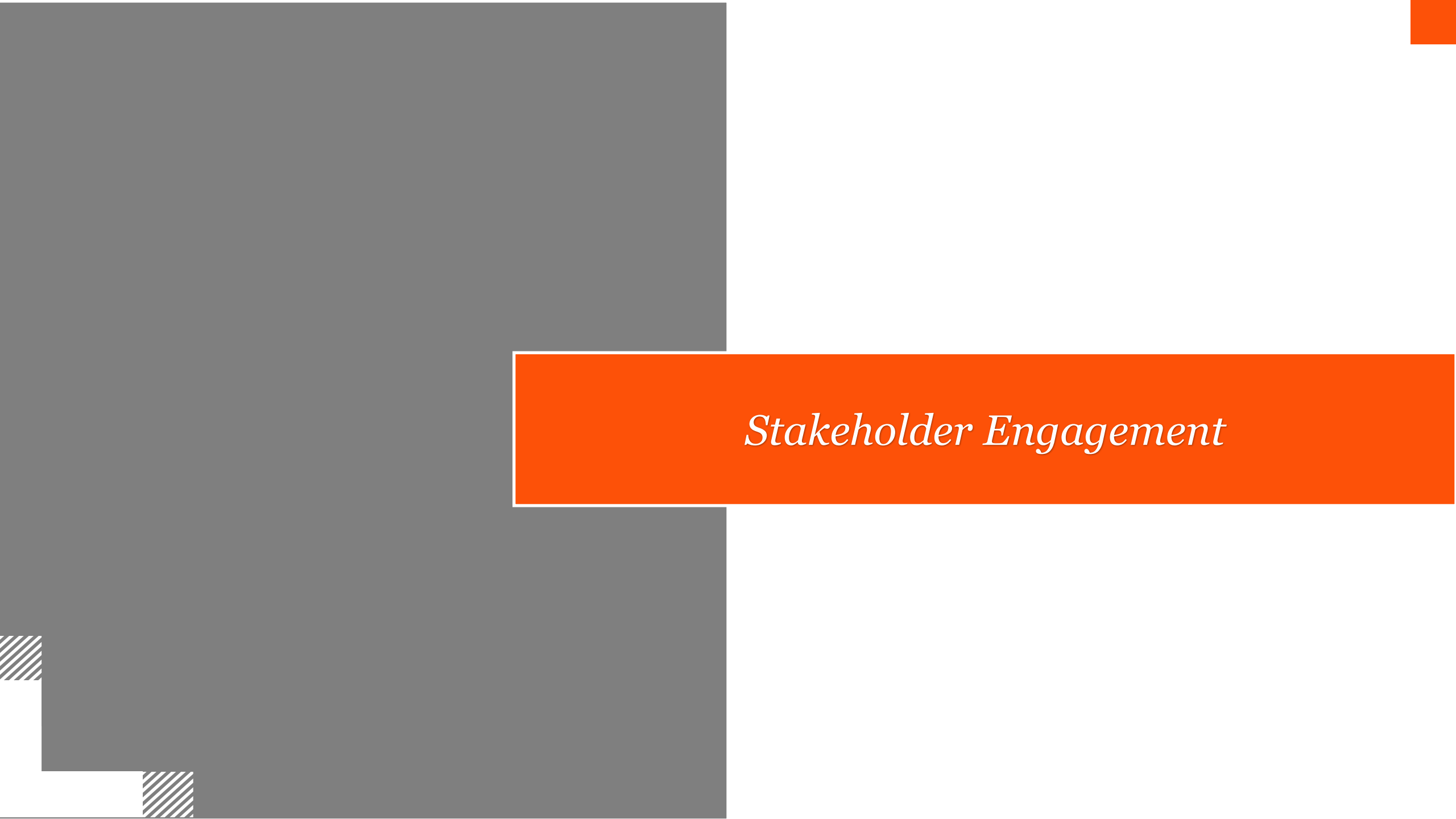
Regulators

Regulatory risk



Local Communities & Society

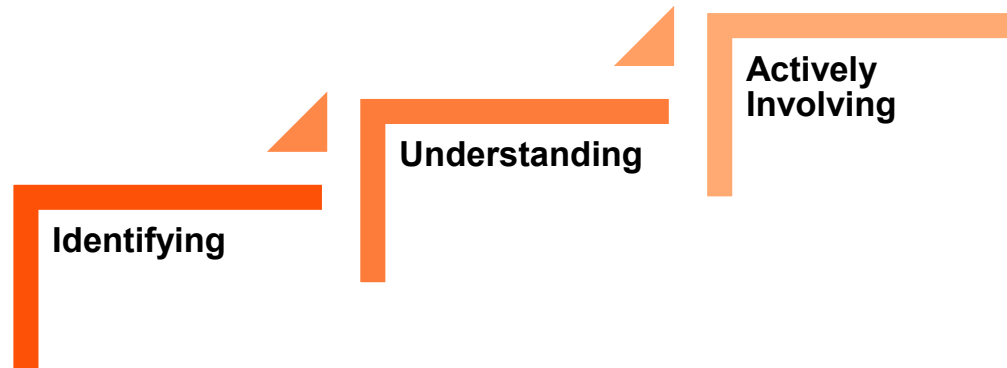
Reputation or regulatory Risk



Stakeholder Engagement

Stakeholders' Engagement | What is it & Why does it matter?

What is Stakeholders' Engagement?



- Stakeholders' engagement is the **process of identifying, understanding and actively involving individuals or groups** who are affected by or can influence an organization's decisions, operations or performance.
- It enables **two-way communication, collaboration and trust-building** with key stakeholders such as employees, customers, investors, regulators, communities and suppliers,

Why Does it Matter?



Stakeholders' Engagement | Process

01. Stakeholder Identification

02. Stakeholders' Mapping & Prioritization

03. Understanding Stakeholders' Expectations

04. Engaging with Stakeholders

05. Fostering Effective Communication

06. Stakeholders' Engagement in Decision-Making

07. Strategic Alignment with Stakeholders

The most **future-ready** organizations create value for all stakeholders, leading to **healthier businesses** and **smarter long-term decisions**.

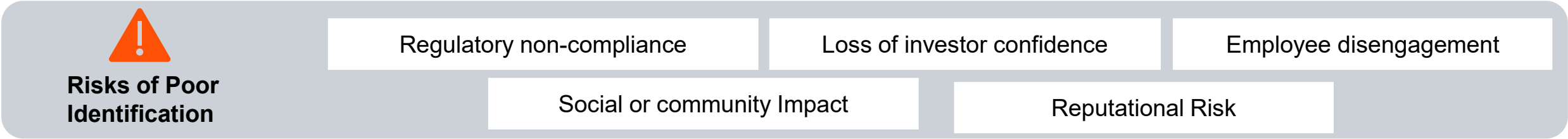


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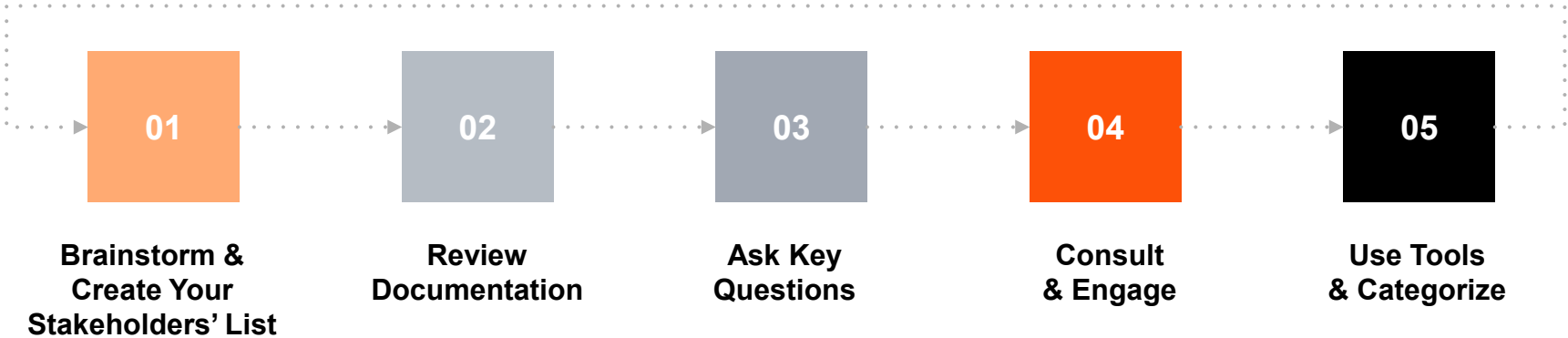
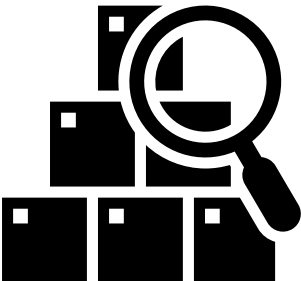
Stakeholder Identification

Stakeholder Identification | Why does it matter?

Stakeholder identification in an organization means finding all individuals or groups **who affect or are affected by its activities**. This includes internal parties (like employees) and external ones (such as customers, suppliers and regulators).



Steps for identification may include



Stakeholder Identification| Global Framework

Identification of Stakeholders is the foundation for effective engagement, risk management, and compliance.

Global Frameworks for Identifying Stakeholders

	Global Reporting Initiative (GRI Standards)	Requires companies to identify stakeholders systematically as part of sustainability reporting.
	OECD Guidelines for Multinational Enterprises on Responsible Business Conduct	Recommends proactive stakeholders' identification for due diligence and responsible business conduct.
	EU Corporate Sustainability Reporting Directive (CSRD)	Requires companies to conduct <i>double materiality assessment</i> , identifying stakeholders impacted by and influencing the company.
	UN Guiding Principles on Business and Human Rights (UNGPs)	Mandates identifying “rights-holders” affected by business activities.
	SEBI's Business Responsibility and Sustainability Report (BRSR)	Mandates Indian Listed companies to <i>identify and engage key stakeholders</i> including employees, customers, suppliers, investors, communities, and regulators.
	National Guidelines on Responsible Business Conduct (NGRBC)	Mandates that Businesses of Indian Listed companies should respect the interests of all stakeholders and be responsive to their needs and concerns.

02

Stakeholder Mapping & Prioritization

Stakeholders' Mapping & Prioritizing | Tools



Tools for Mapping Stakeholders

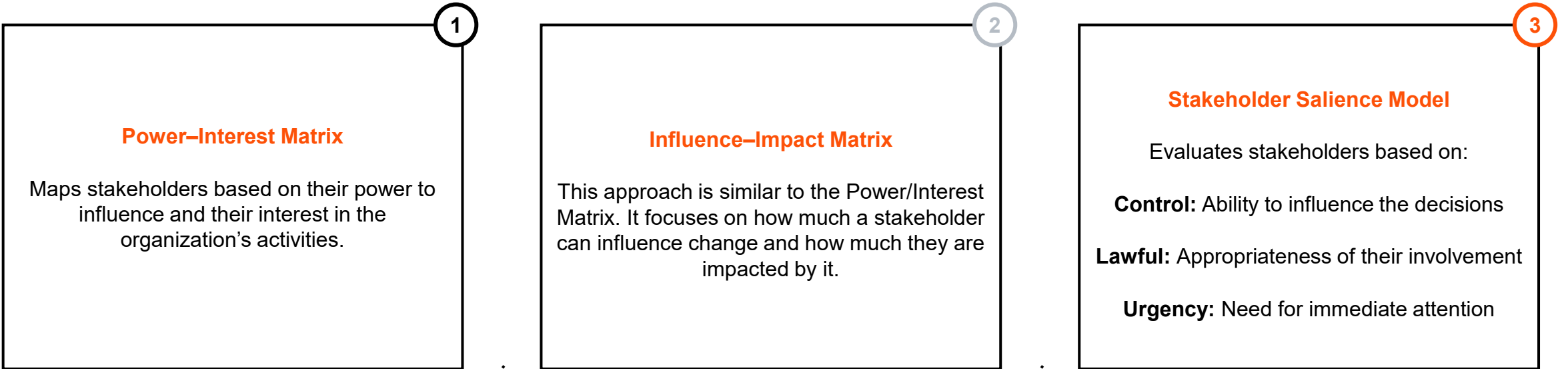
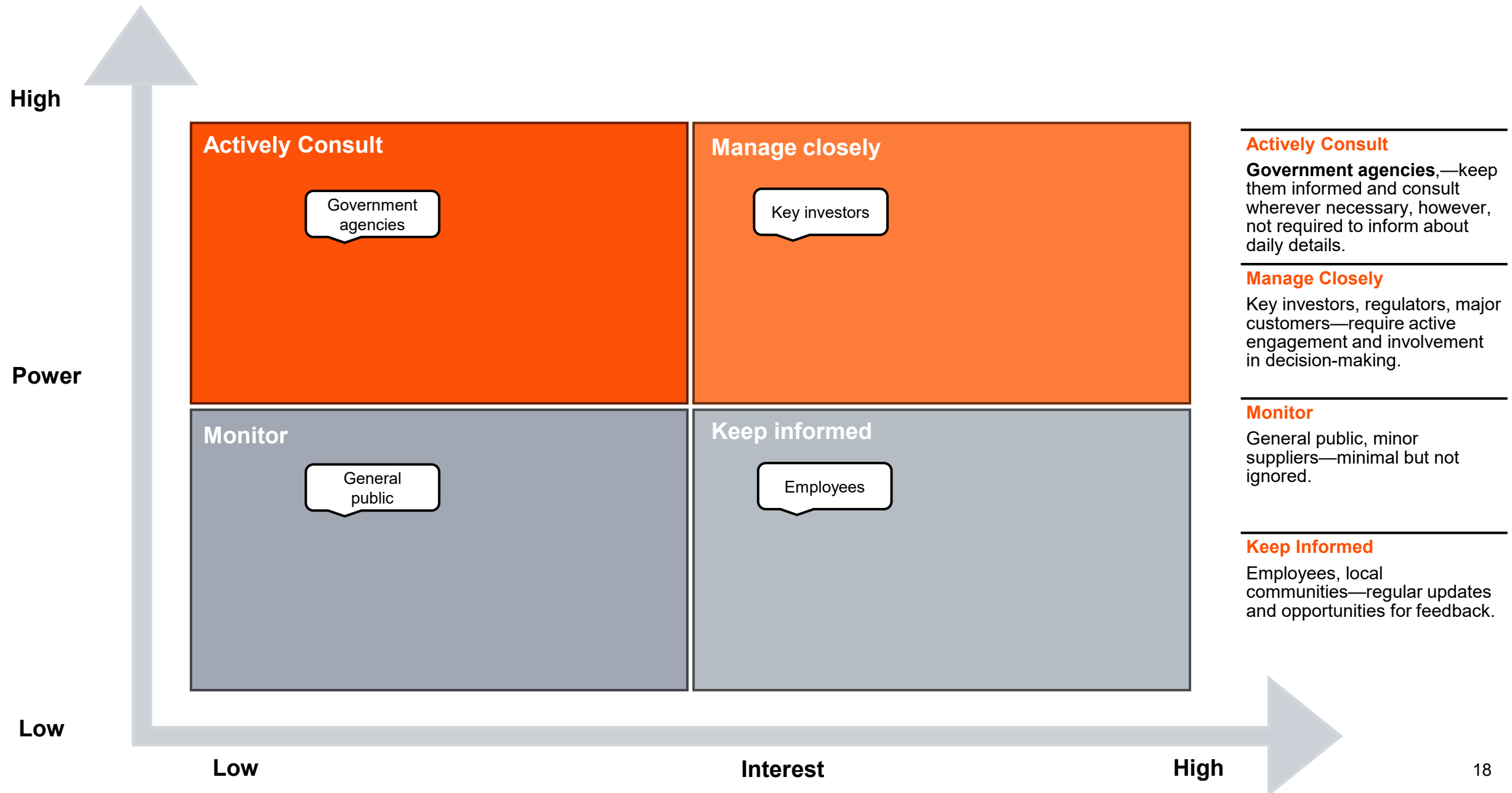


Illustration | Power–Interest Matrix



03

Stakeholder Expectations

Understanding Stakeholder Expectations

This means actively understanding their expectations from the organization. Expectations can relate to performance, communication, ethical standards, or specific outcomes.

Why does it matter?

It enables the Board and management to anticipate risks, align strategy with stakeholder priorities and protect long-term shareholders' and enterprise value.

Illustration:

- | | |
|---|--|
| <ul style="list-style-type: none">• Customers: Expect high-quality products, timely delivery, and responsive customer service. | <ul style="list-style-type: none">• Employees: Seek fair compensation, job security, professional development, and a positive work environment. |
| <ul style="list-style-type: none">• Regulators: Demand compliance with laws, timely reporting, and ethical conduct. | <ul style="list-style-type: none">• Communities: Desire environmental protection, job creation, and corporate social responsibility. |

Tools for understanding

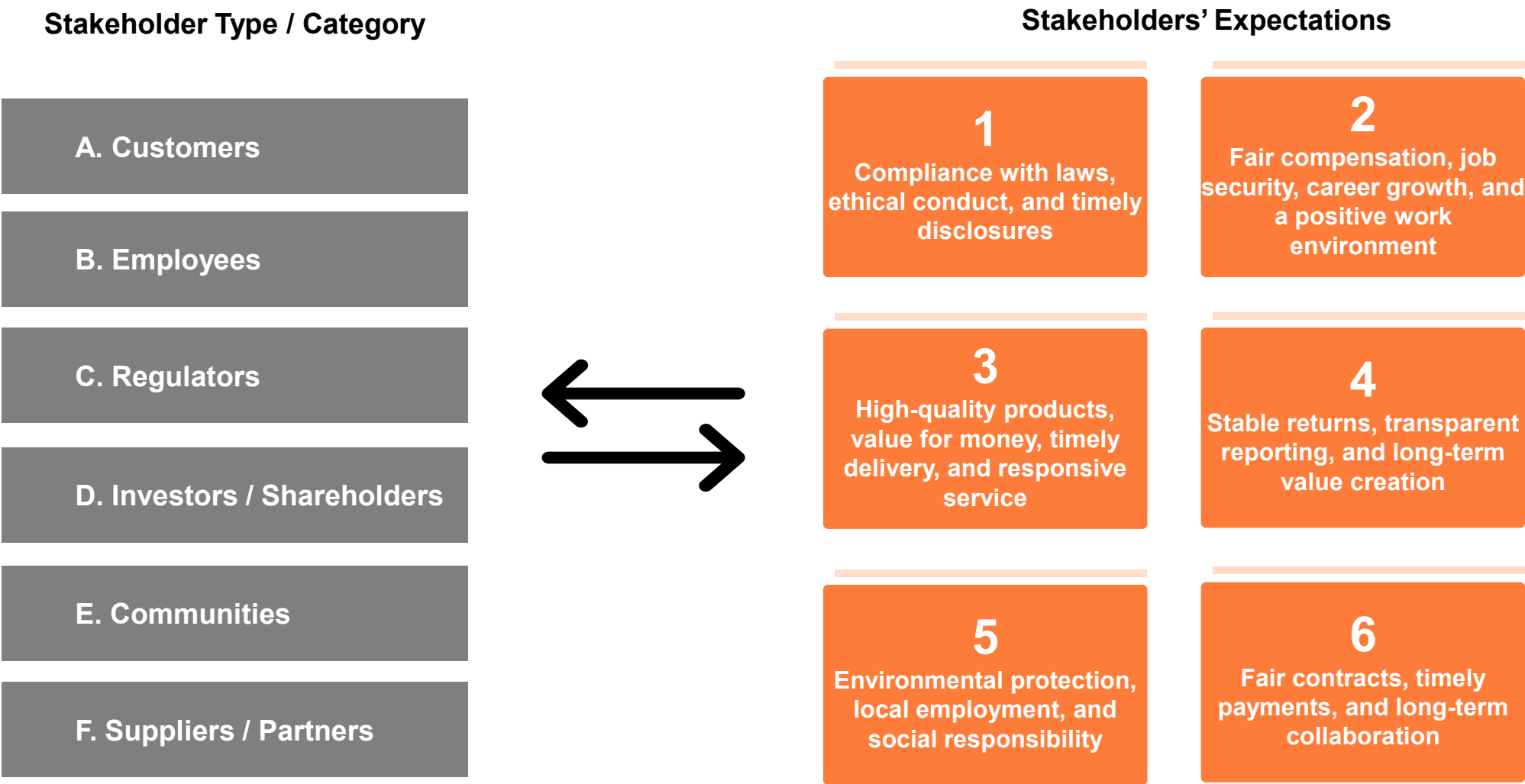
- Surveys & Questionnaires
- Interviews & Focus Groups
- Social Media Monitoring
- Feedback Forms



Role of Management

- Use a mix of data collection methods to get a comprehensive view.
- Ensure confidentiality and anonymity to encourage honest feedback.
- Segment stakeholders in order to tailor questions and keep the analysis specific to their context.

Activity | Mapping Stakeholders to Their Possible Expectations



Answers | Mapping Stakeholders to Their Possible Expectations

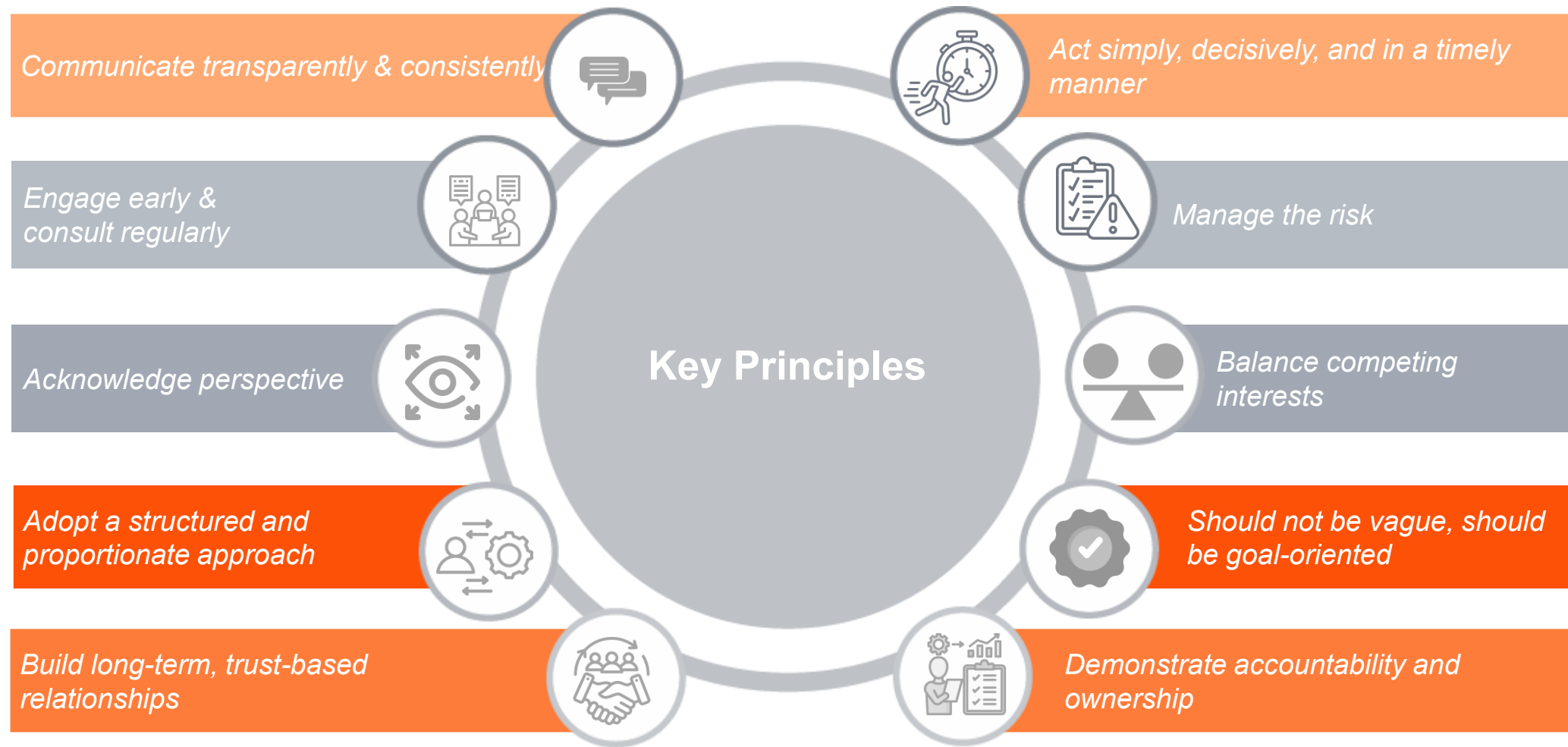
A. Customers	3 High-quality products, value for money, timely delivery, and responsive service	D. Investors / Shareholders	4 Stable returns, transparent reporting, and long-term value creation
B. Employees	2 Fair compensation, job security, career growth, and a positive work environment	E. Communities	5 Environmental protection, local employment, and social responsibility
C. Regulators	1 Compliance with laws, ethical conduct, and timely disclosures	F. Suppliers / Partners	6 Fair contracts, timely payments, and long-term collaboration

04

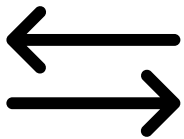
Engaging with Stakeholders

Engaging with Stakeholders | Key Principles

A successful stakeholder engagement strategy requires a structured, thoughtful approach that balances communication, trust-building, risk management and accountability.



Engaging with Stakeholders | Strategies



Informative Engagement: Proactive Information Sharing

This strategy focuses on keeping stakeholders informed about activities, decisions, & changes.

Examples

- Quarterly financial reports for investors.
- Project progress updates for members.
- Prior notices for customers whenever products are recalled.

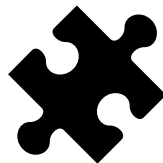


Consultative Engagement: Seeking Input & Feedback

Involves actively soliciting stakeholder opinions, concerns, and suggestions before making decisions.

Examples:

- Surveying employees on workplace policies.
- Holding forums before launching a new facility.
- Consulting suppliers on procurement processes



Collaborative Engagement: Co-Creation & Partnership

This strategy involves working directly with stakeholders to co-create solutions, develop initiatives, or make decisions.

Examples:

- Employees participating in the designing of a new system.
- Customers involved in testing of new products.
- Local governments and businesses co-developing projects such as CSR.

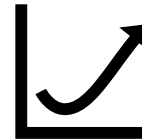


Responsive Engagement: Addressing Concerns & Issues

This strategy focuses on listening to stakeholder concerns & addressing grievances.

Examples:

- Addressing employee complaints about workplace safety.
- Responding to community concerns about environmental impacts.
- Handling customer service issues and product recalls



Transformational Engagement: Driving Change Together

This strategy involves partnering to drive significant, long-term change that is mutually beneficial.

Examples:

- Joint sustainability initiatives
- Industry-wide collaborations to set new standards or best practices.

05

Fostering Effective Communication

Fostering Effective Communication

What is Effective Communication?



Effective stakeholder communication is the **timely, transparent, relevant, and two-way exchange of information** between an organization and its stakeholders.

Why is Effective Stakeholder Communication Required?

Strengthens confidence in leadership and decision-making.

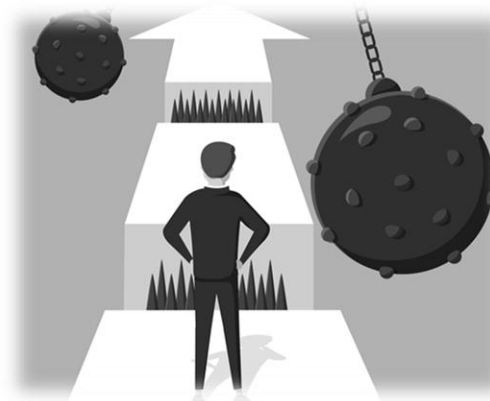
Reduces misinterpretations by clearly communicating plans, priorities and risks

Stakeholder insights **help** organizations anticipate risks, identify opportunities, and make informed choices.

Strong relationships with stakeholders **improve** reputation.

Common Challenges Faced by Organizations Today

- Diverse and Conflicting Stakeholders' Interests
- Information Overload
- Lack of Two-Way Dialogue
- Inconsistent Messaging Across Channels
- Low Trust or Skepticism
- Digital Challenges



Fostering Effective Communication | Common Channels

01 Direct & Interpersonal Channels

Common for: Investors, regulators, key customers, employees, partners



One-on-one meetings

Stakeholder workshops

Site visits & roadshows

Analyst meetings

02 Digital & Technology-Enabled Channels

Common for: Large, geographically dispersed stakeholder groups



Emails & newsletters

Corporate website

Webinars & meetings

Social media platforms

03 Formal & Structured Channels

Common for: Shareholders, regulators, media, rating agencies



Annual reports & ESG reports

Earnings Call

Press Releases

Regulatory filings

04 Informal & Community-Based Channels

Common for: Communities, focused groups



Community meetings

Focus group discussions

CSR events

Local forums & partnerships

Fostering Effective Communication | Globally Recognized Strategies



01 Inform

Providing transparent, timely, and accurate information.

- Regular updates
- Public disclosures
- Awareness campaigns

02 Consult

Seeking feedback and perspectives before decisions.

- Surveys & polls
- Public consultations
- Stakeholder interviews

03 Involve

Engaging stakeholders throughout the process.

- Working groups
- Co-creation workshops
- Pilot programs

04 Collaborate

Partnering with stakeholders to create shared value.

- Strategic partnerships
- Joint initiatives

05 Empower

Giving stakeholders a formal role in decision-making.

- Advisory panels
- Board or committee representation
- Voting or governance rights

How do you communicate ? A quick perspective check

Answer the following questions based on your experience. There are no right or wrong answers



Which channel do you think is MOST effective for important messages

- a) Digital Communication
- b) Direct Meetings
- c) Depends on the stakeholder
- d) Formal Reports



Where do YOU draw the line on transparency?

- a) Disclose everything as per the regulatory requirements
- b) Disclose in spirit
- c) Disclose selectively
- d) Disclose when asked



Which communication channel do YOU feel most comfortable using?

- a) One – on –one Conversations
- b) Formal written disclosures
- c) Emails/digital channels
- d) Public Forums/townhalls



Which stakeholder group is MOST often informed after decisions are made?

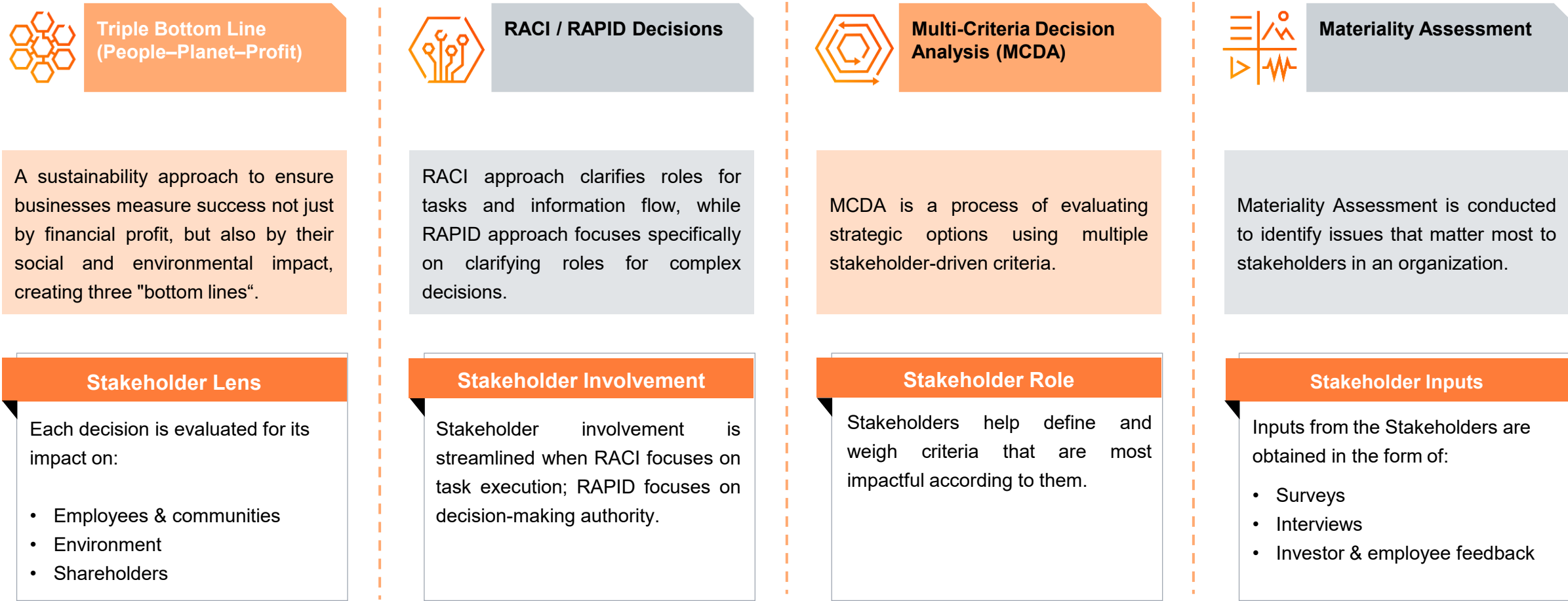
- a) Employees
- b) Regulators
- c) Communities
- d) Minority Shareholders

06

Stakeholder Engagement in Decision-Making

Stakeholder Engagement in Decision-Making | Global Strategies

Effective decision-making requires systematically integrating stakeholder perspectives. The following are globally practiced strategies that combine sustainability, role clarity, and structured evaluation approaches to ensure decisions are transparent, balanced, and value-driven.



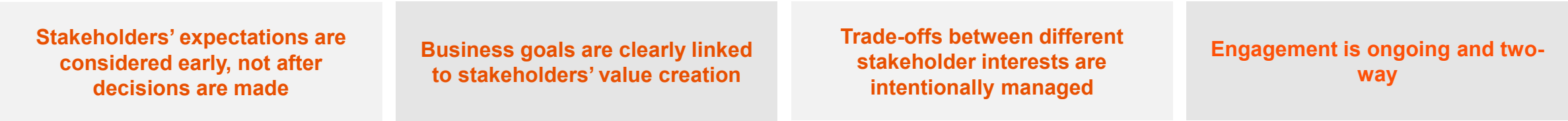
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Strategic Alignment with Stakeholders

Strategic Alignment with Stakeholders | What is it & Why does it matter?

Strategic Alignment with stakeholders refers to the process of ensuring that an organization’s strategy, decisions, and actions are aligned with the expectations, needs, and priorities of its key stakeholders—such as employees, customers, investors, regulators, communities, and partners—while still advancing the organization’s long-term goals.

What does strategic alignment look like in practice?



Why does strategic alignment with stakeholders matter?

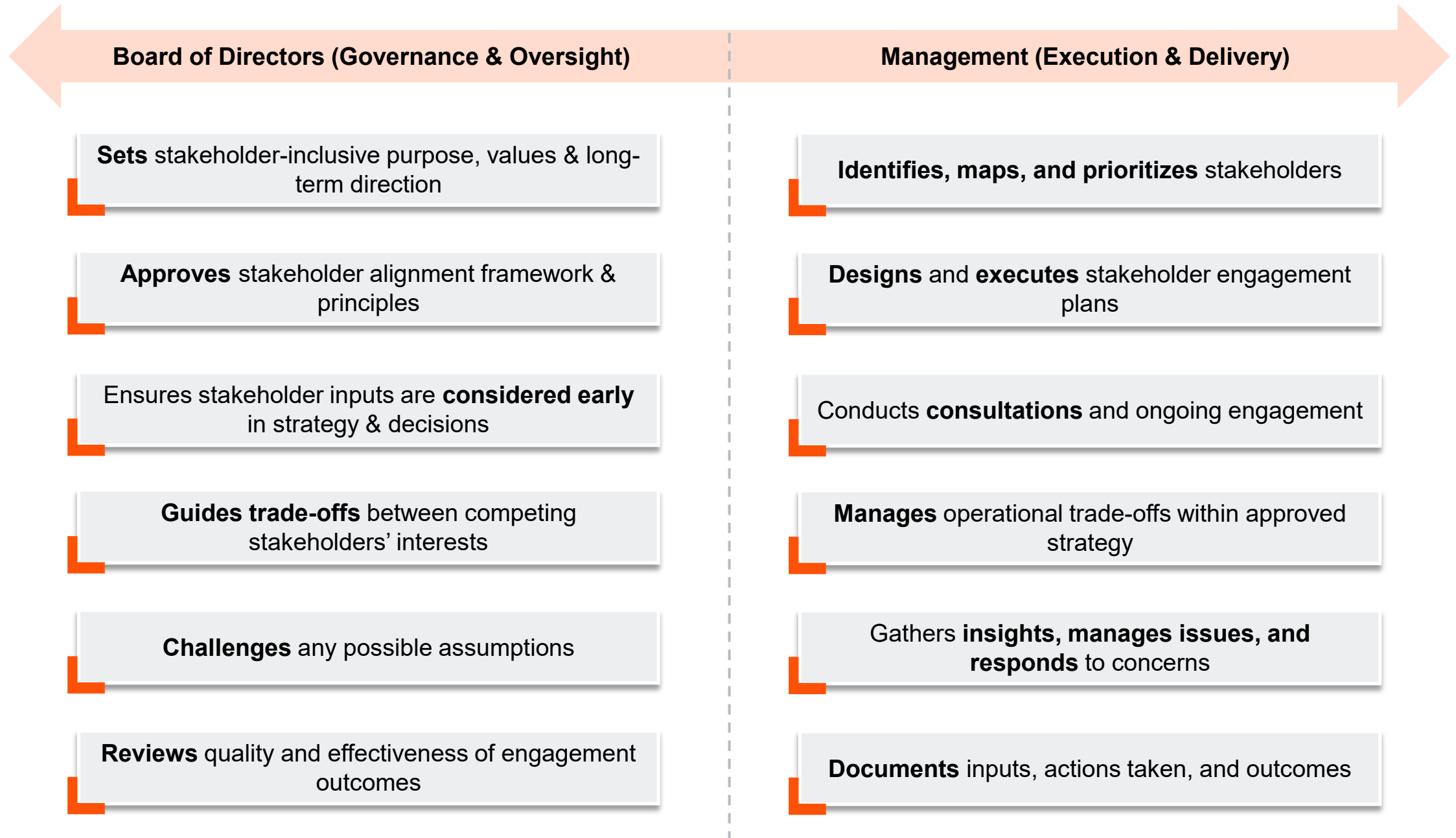


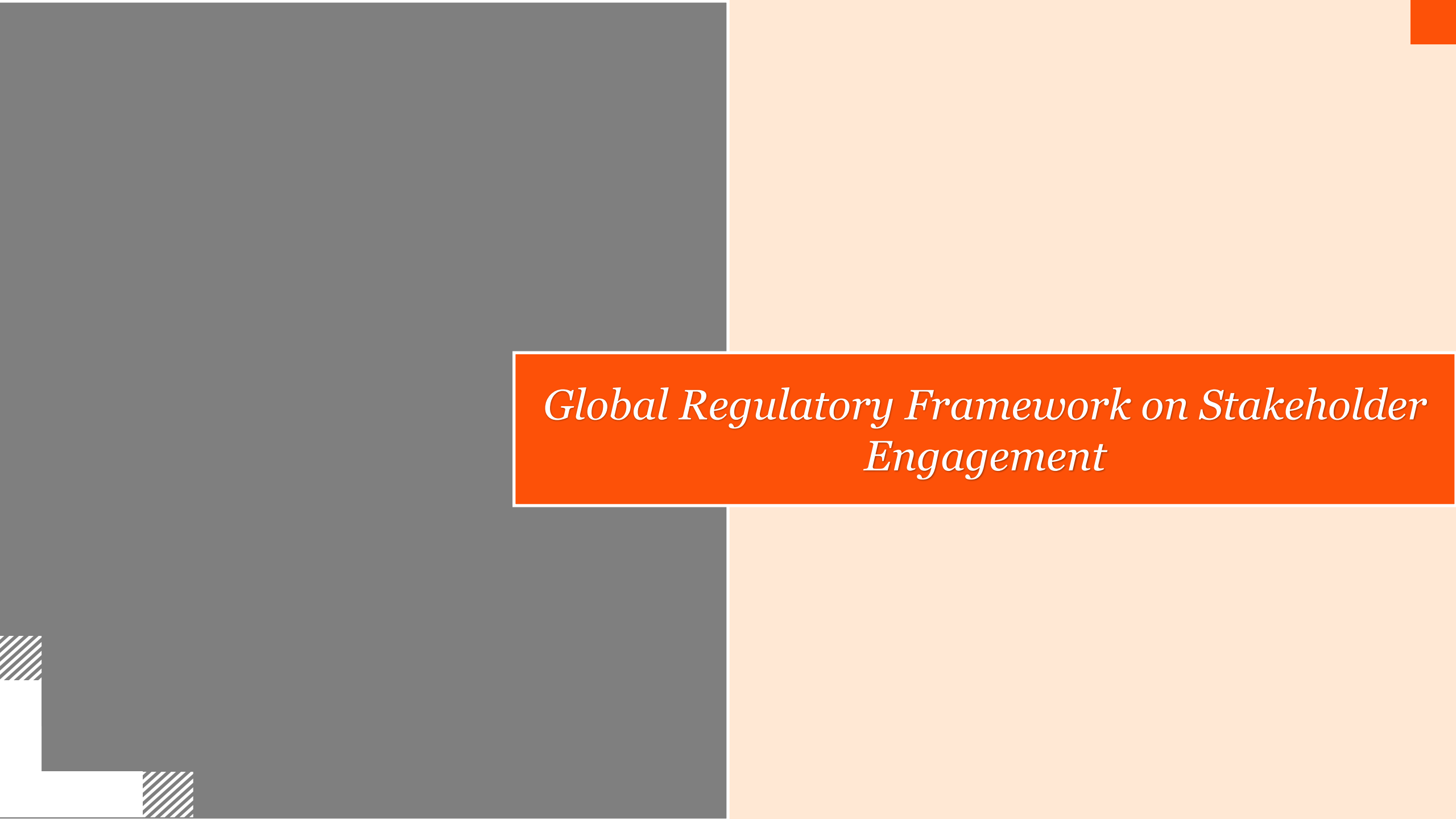
Mistakes to Avoid | Common Alignment Pitfalls

Most alignment failures are process failures—not people failures.

Pitfall	Typical Impact	Stakeholders Affected	Best Practices
Assuming silence equals support	- Hidden resistance surfaces during execution - Strategic surprises	- Leadership - Investors	Actively seek confirmation and explicit buy-in
Engaging too late	- Stakeholders feel excluded and push back - Low ownership, slow execution	- Employees - Directors - Partners - Value-chain partners	Involve stakeholders early and at key milestones
One-size-fits-all communication/ Generic Communication	- Compliance risk - Reputational risk - Messages are ignored or misunderstood	All stakeholders	Tailor content, format, and frequency according to stakeholder roles
Ignoring or Avoiding Dissent	- Risks remain unaddressed - Operation failures - Product failures	- Technical teams internally - Customers as end users	- Treat dissent as valuable insight - Act timely to resolves issues and align with best industry standards
Open Feedback Loop	- Mistrust - Decline in future engagement	All stakeholders	- Show how the stakeholders’ input influenced decision making and final output. - Communicate the value addition

Strategic Alignment with Stakeholders – Board vs Management Responsibilities





Global Regulatory Framework on Stakeholder Engagement

Stakeholders Relationship Committee | Enabling Effective Stakeholder Engagement

What is a Stakeholders' Relationship Committee (SRC)?

The SRC is a delegated body of a company's Board of Directors is established to **oversee** and **manage** the various aspects of interest and grievances of its stakeholders.



India is one jurisdiction where the SRC is **legally mandated** with a primary focus to consider and resolve grievances of security holders and oversee transfers, dividends, dematerialization, and investor complaints.

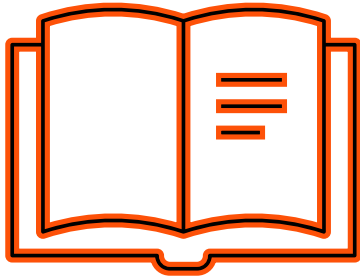
The Board of Directors of a company which **consists of more than 1000 security holders** at any time during a financial year shall constitute a Stakeholders Relationship Committee consisting of a Chairperson who shall be a non-executive director and such other members as may be decided by the Board.

Global industry practices are evolving from a compliance mechanism into a strategic tool for long-term stakeholder value and trust.

AA1000 SES | AccountAbility 1000 Stakeholder Engagement Standard

The **AA1000 Stakeholder Engagement Standard (AA1000SES)** is recognized as the **leading global benchmark** for effective stakeholder engagement. It provides organizations with a framework that enables stakeholders to play a meaningful role in creating value. By following this standard, organizations embed stakeholder engagement into their governance structures, strategic planning, and daily operations, resulting in more significant and positive impacts.





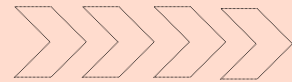
From Concept to Reality



A Real-World Scenario

A Successful Stakeholder Engagement Strategy !

As an illustration, let's look at how a leading FMCG company has developed & implemented a comprehensive strategy to **identify, engage, and collaborate** with its key stakeholders.



Internal & External Stakeholder Alignment Strategy | Best Practice

A tech Company's stakeholder engagement strategy focuses on satisfying diverse groups—**customers, employees, investors, suppliers, governments, and communities**—through innovation, CSR, transparent communication, and robust governance, balancing profit with social responsibility by addressing concerns like labour-related matters and sustainability (supply chain)

Directors' Role in Stakeholders' Engagement

The Directors receive training relevant to their role, including on Directors' duties, to support their consideration of stakeholder impact.

They have **delegated day-to-day engagement** with stakeholders to management with relevant subject matter expertise.

They **oversee** this engagement and **consider stakeholder impacts** in relation to key decisions that are escalated to the board.

Risk Management

The Company conducts **labour related due diligence** to identify salient labour related risks and works to mitigate them.

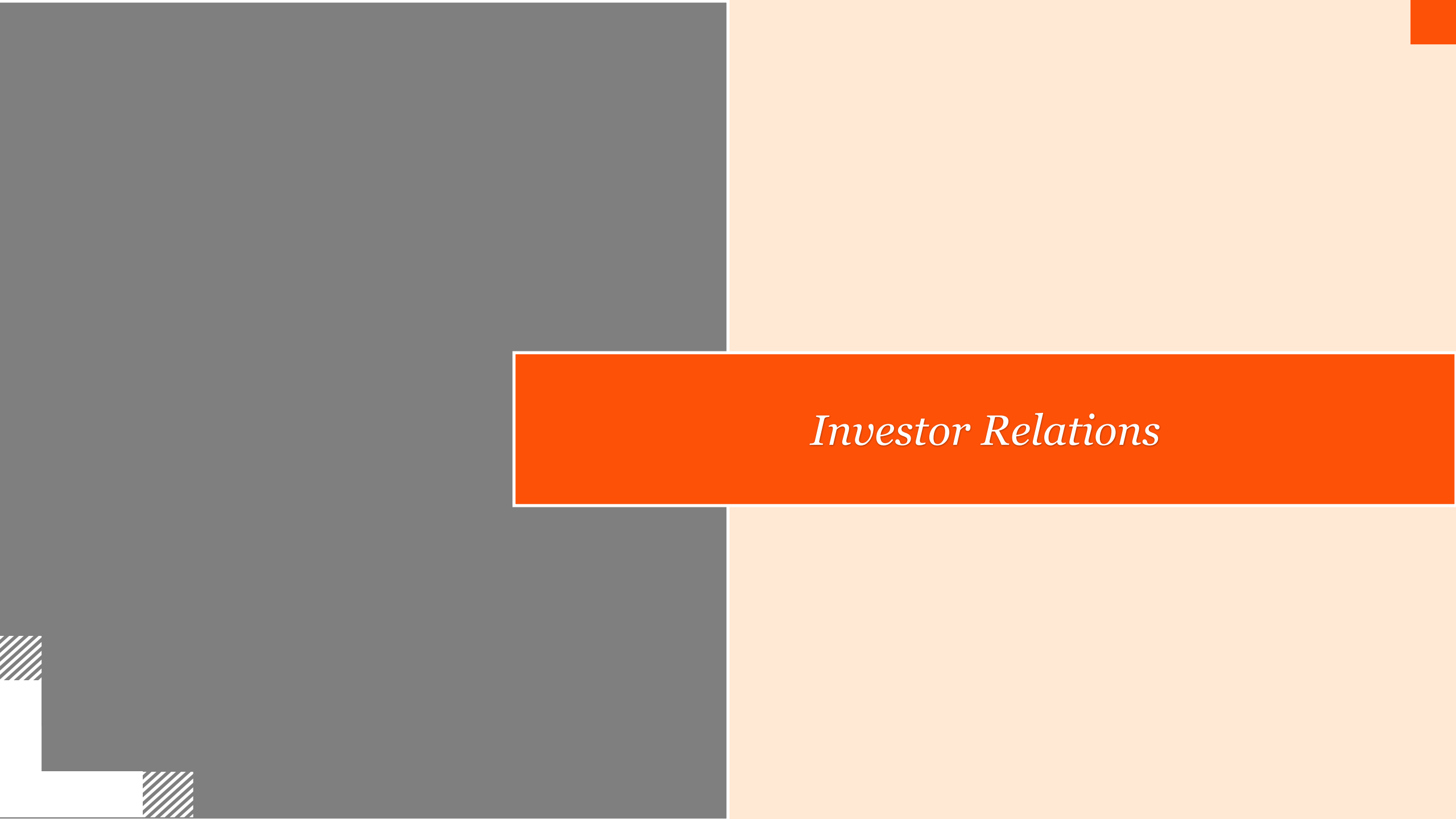
It also seek to remedy adverse impacts, track and measure their progress, and report their findings.

Commitment to Responsible Conduct

The Company **engages with and supports** a broad range of **multistakeholder** and **community initiatives**.

Input from the stakeholders strengthens the Company's robust due diligence program and drives industry-wide progress.

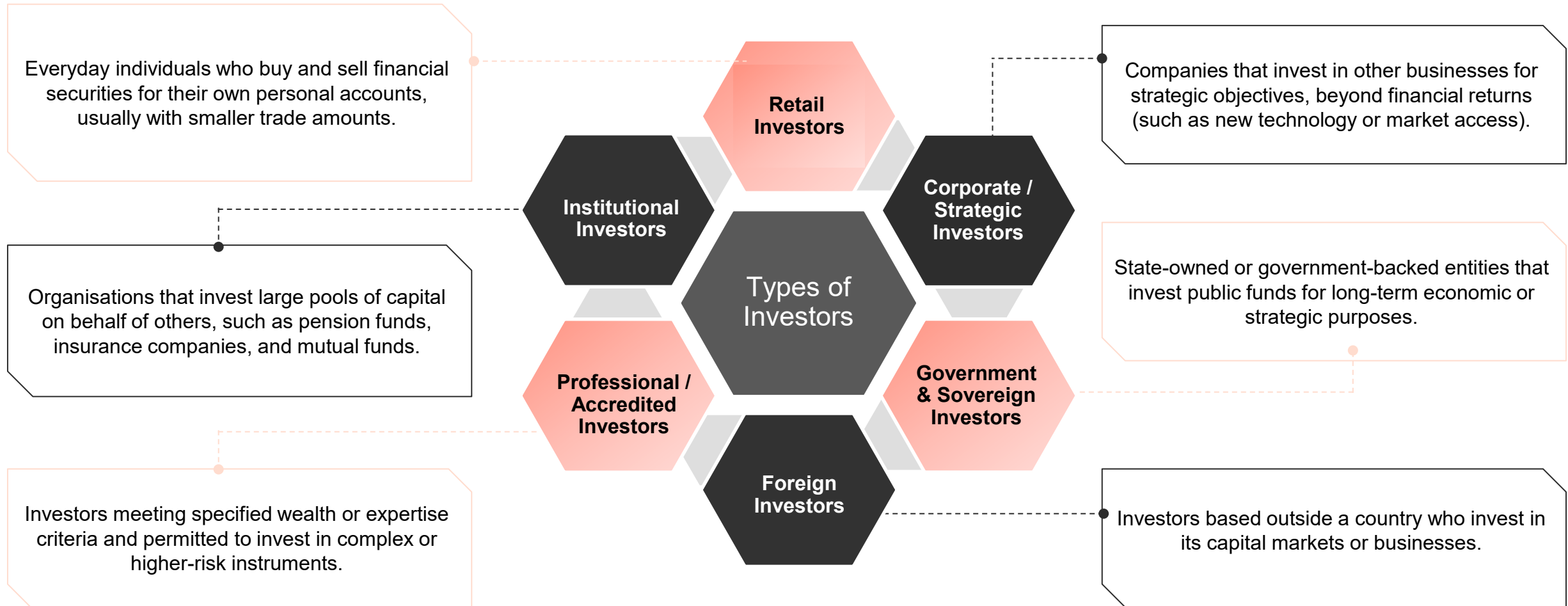
In essence, the Company uses a **top-down** (Board/Management) and **bottom-up** (employee/community) approach, underpinned by strong governance and transparent communication, to balance diverse stakeholder interests with its long-term strategic vision.



Investor Relations

Who is an Investor and What are the Types?

*An investor is a person or entity that **commits capital** into a business with the expectation of earning financial returns and/or strategic, social or economic value.*



What is Investor Relations?

Investor Relations (IR) is a **strategic management function** that enables transparent, timely and consistent communication between a company and its investors, analysts and capital markets.

Core **Objectives** of Investor Relations

- **Ensure** fair, accurate, and timely disclosure
- **Communicate** strategy, performance, and risks clearly
- **Build** long-term relationships with investors
- **Address** investor concerns and expectations
- **Align** market perception with business reality

Who does Investor Relations (IR) Team engage with?

Investors

Regulators &
Stock Exchange

Rating Agencies

Media & Press

Key OECD Principles that shape Investor Relations



OECD principles define the governance standards and Investor Relations translates those standards into consistent, transparent, and trusted communication with investors.

Rights of Shareholders

Equitable Treatment of Shareholders

Disclosure and Transparency

Responsibilities of the Board

Role of Institutional Investors & Stewardship

Stakeholder Engagement & Long-Term Value

OECD Principles

- Timely, accurate, and relevant information
- Effective exercise of ownership and voting rights

- Equal treatment of all shareholders
- Prohibition of insider trading and abuse

- Disclosure of performance, strategy, risks & governance

- Board accountable for disclosure integrity and oversight

- Promote responsible ownership and engagement

- Recognize stakeholder rights
- Encourage sustainable value creation

Investor Relations Function

- Enable informed shareholder participation
- Communicate clearly before AGMs and key decisions

- No selective disclosure
- Ensure equal access to material information

- Communicate financial, strategic, and risk information
- Support long-term value understanding

- IR operates under board supervision
- Boards monitor investor communication quality

- Facilitate dialogue with institutional investors
- Support long-term investor relationships

- Integrate sustainability messaging
- Emphasize long-term value, not just profits

Regulatory Framework of Investor Relations

Jurisdiction	Key Regulators	Key Regulations	IR Essence & Focus
 United States	U.S. Securities and Exchange Commission (SEC)	• Securities Exchange Act of 1934 • Regulation Fair Disclosure (Reg FD) • Sarbanes–Oxley Act (SOX) • Insider Trading Rules (Rule 10b-5)	• Prohibits selective disclosure • Mandates public dissemination of material information • Strong emphasis on earnings calls, guidance & analyst interactions
 United Kingdom	Financial Conduct Authority (FCA)	• UK Listing Rules • Disclosure Guidance & Transparency Rules (DTR) • UK Corporate Governance Code	• Timely disclosure of inside information • “Comply or Explain” governance approach • Strong investor engagement expectations
 European Union	European Securities and Markets Authority (ESMA)	• Market Abuse Regulation (MAR) • Shareholder Rights Directive II (SRD II)	• Disclosure of inside information • Investor engagement and stewardship • Shareholder rights and long-term engagement
 India	Securities and Exchange Board of India (SEBI)	• SEBI (LODR) Regulations, 2015 • SEBI (PIT) Regulations, 2015 • SEBI ICDR Regulations	• Timely disclosure of material events • Fair disclosure policy • Shareholder engagement and grievance redressal
 Australia	• Australian Securities & Investments Commission (ASIC) • Australian Securities Exchange (ASX)	• ASX Listing Rules • Corporations Act, 2001	• Immediate disclosure of price-sensitive information • Strong enforcement of disclosure breaches

Investor Relations | Core Communication & Key Activities



What does IR Communicate

Financial Information

Quarterly & Annual Results

KPIs and Performance Trends

Strategic Information

Business Model

Growth Strategy

Capital Allocation

Governance & ESG

Board Structure & Oversight

Risk Management

Sustainability Priorities



Key IR Activities

01

Earnings calls and investor presentations

Communicate financial performance, business updates & management outlook to investors and analysts.

02

Analyst meets and investor roadshows

Engage with analysts and institutional investors to explain strategy, performance drivers & long-term value creation.

03

One-on-one investor meetings

Address specific investor queries and concerns while building transparency and trust through direct engagement.

04

Annual reports and integrated reporting

Provide a comprehensive view of financial results, strategy, governance, risks & ESG performance.

05

Website and investor communications

Ensure timely, accurate, and equal access to disclosures, announcements, and investor information.

How the Board Governs Investor Relations

Oversight of Disclosure & Transparency

- Ensure accurate, timely and relevant disclosures
- Maintain consistency across financial and governance communications
- Safeguard against selective disclosure

01

Governance & Regulatory Accountability

- Oversee disclosure policies and regulatory compliance
- Ensure robust controls on insider information

02

Alignment of Strategy & Investor Messaging

- Ensure investor communication reflects strategy and long-term priorities
- Review credibility and clarity of disclosures

03

Oversight of Investor Engagement

- Monitor interactions with investors and analysts
- Review feedback and concerns raised by the investment community

04

Market Perception & Risk Oversight

- Track investor sentiment and valuation trends
- Oversee communication during sensitive or crisis situations

05

ESG & Long-Term Value Communication

- Oversee ESG and governance disclosures
- Ensure focus on sustainable, long-term value creation

06

Thank you

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